

SLC to add 22k ha area with new JV

The news

SLC announced last night that it has reached an agreement with Group RZK to create a joint venture named Fazenda Preciosa. SLC will hold a 55% stake the JV, which will be responsible for managing an area comprising 21.8k hectares suitable for two annual crops, located in Querência, Mato Grosso (MT). The company plans to cultivate soybean, corn (second crop), and cotton, and is expected to start operating in the upcoming 2024/25 crop. The lease term is up to 15 years, with the leasing price being described as "market priced" by SLC. The transaction is subject to CADE's approval.

Our take

During SLC Farm Day, the company reiterated its commitment to growth, reaffirming its asset-light model. The transaction announced yesterday aligns with this strategy, adding 21.8k hectares and increasing SLC's total farmed land by 3%. SLC will now have 423k hectares leased (63% of the total vs. 61% previously).

More importantly, when combined with the recently announced agreement with Agro Penido, SLC will meet its annual guidance of expanding the planted area by 35k hectares per year. We believe investors will welcome this development. Additionally, the expectation of more normalized weather in the upcoming crop year, supported by La Niña, should enable SLC to harvest over 710k hectares in 2025. This is above Street expectations and supports our above consensus 2025E EBITDA estimates (see our recent estimate update [here](#)).

SLC will operate the land and receive a management fee, in addition to 55% of interests based on its JV stake. Essentially, SLC is leasing 55% of the 21.8k hectares. Querência, located in Mato Grosso, is one of the most promising regions for agricultural production of high-value crops like grains and cotton. SLC did not disclose the leasing price, but we estimate it to range between 10-15 soybean bags per hectare.

Since 2017, SLC's decision to adopt an asset-light model, where most of the area is leased, has proven to be not only successful but also transformational for the company. SLC has managed to accelerate growth, scale the business, and improve return on capital and shareholder returns.

We remain BUYers of the stock. Despite unfavorable grain price trends, particularly soybeans this year, we see the stock offering double-digit FCF yields despite the commodity price headwind. This should shield the stock price from additional downsides while maintaining long-term exposure to one of Brazil's most exciting and competitive sectors.

Analysts

Thiago Duarte

Brazil – Banco BTG Pactual S.A.
 thiago.duarte@btgpactual.com
 +55 11 3383 2366

Guilherme Guttilla

Brazil – Banco BTG Pactual S.A.
 guilherme.guttilla@btgpactual.com
 +55 11 3383 9684

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SLC Agrícola	SLCE3.SA	Buy	R\$19.31/US\$3.46	2024-07-19
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Valuation Methodology

SLC Agrícola. [BRSCLCE] - Our target price is DCF-based and discounted at a USD-nominal WACC of 7.2%